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UNITED STATES BANKRUPTCY COURT
DISTRICT OF UTAH
CENTRAL DIVISION

In re: PLAZA 106, LLC, Debtor in Possession. PLAZA 106, LLC, Plaintiff, v. FIRST UTAH BANK, a Utah state-chartered bank; and MICHAEL R. BROWN, in his capacity as Successor Foreclosure Trustee, Defendants.	Bankruptcy No. 25-bk-25459-PH Chapter 11 Adversary Proceeding No. _____ Hon. Peggy Hunt

VERIFIED COMPLAINT FOR FRAUD ON THE COURT, CONSPIRACY TO DEFRAUD TRUSTOR, BREACH OF CONTRACT, UCC VIOLATIONS, SPOLIATION OF EVIDENCE, AND INJUNCTIVE RELIEF

Plaintiff Plaza 106, LLC, by and through counsel, for its Verified Complaint against Defendants First Utah Bank, a Utah state-chartered bank; and Michael R. Brown, in his capacity as Successor Foreclosure Trustee, alleges as follows:

JURISDICTION AND VENUE

1. This Court has jurisdiction over this adversary proceeding under 28 U.S.C. §§ 1334(b) and 157(a). This adversary proceeding is referred to this Court by the standing order of reference of the United States District Court for the District of Utah.

2. This is a core proceeding under 28 U.S.C. § 157(b)(2), including proceedings to determine the validity or extent of a lien (§ 157(b)(2)(K)), proceedings affecting the adjustment of the debtor-creditor relationship (§ 157(b)(2)(O)), and other proceedings affecting the administration of the estate (§ 157(b)(2)(A)).

3. This adversary proceeding arises in the above-captioned bankruptcy case, *In re Plaza 106, LLC*, Bankruptcy No. 25-bk-25459-PH, pending under chapter 11 in the United States Bankruptcy Court for the District of Utah, Central Division.

4. Plaintiff does not consent to the entry of final orders or judgment by the bankruptcy court.

5. This adversary proceeding is properly commenced under Federal Rule of Bankruptcy Procedure 7001, including: a proceeding to obtain injunctive relief (Rule 7001(7)); and a proceeding to determine the validity, priority, or extent of a lien or other interest in property (Rule 7001(2)).

6. Venue is proper in this District under 28 U.S.C. § 1409(a) because the above-captioned bankruptcy case is pending in this District.

7. This Court has authority to grant the relief requested under 11 U.S.C. § 105(a), Federal Rule of Civil Procedure 60(d)(3) (made applicable by Bankruptcy Rule 9024), and Federal Rule of Civil Procedure 65 (made applicable by Bankruptcy Rule 7065).

PARTIES

8. Plaintiff Plaza 106, LLC ("Plaintiff" or "Debtor") is a Utah limited liability company and the debtor in possession in the above-captioned Chapter 11 bankruptcy case. The

Debtor owns the real property located at 894 East 3900 South, Salt Lake City, Utah 84107 (the "Property").

9. Defendant First Utah Bank ("FUB") is a Utah state-chartered bank with its principal place of business in Salt Lake City, Utah. FUB is the beneficiary under a Deed of Trust recorded on July 20, 2022, encumbering the Property, and is a creditor in the above-captioned bankruptcy case.

10. Defendant Michael R. Brown (USB #16007) ("Brown") is the successor foreclosure trustee under the Deed of Trust encumbering the Property, having been substituted as trustee on October 31, 2024. Brown is also an attorney admitted to practice before this Court and a member of the law firm Parsons Behle & Latimer, and serves as litigation counsel for FUB in the above-captioned bankruptcy case. Brown's claims in this proceeding arise from his conduct in his capacity as trustee.

GENERAL FACTUAL ALLEGATIONS

11. On July 20, 2022, Plaza 106 LLC entered into a Business Loan Agreement with First Utah Bank in the amount of $2,750,000. (Doc 9-1.)

12. Plaza 106 executed a Promissory Note with a fixed monthly payment of $17,705.57 for 119 payments. (Doc 9-2.)

13. Plaza 106 faced challenges with tenant payments and other issues affecting cash flow. The last regular loan payment was made in July of 2024.

14. Unbeknownst to Plaza 106, FUB sent a Notice of Default and Acceleration on September 25, 2024 (Doc 9-7) and recorded a Notice of Default and Election to Sell on November 1, 2024 (NOD1) (Doc 9-9). Plaza 106 did not become aware of these filings until around the time of January 3, 2025, when Prasad Reddy, Managing Member of Plaza 106, contacted the bank following catch-up payments made by Plaza 106.

15. Despite the cashflow challenges, Plaza 106 was focused on catching up on payments. Between October 2024 and January 2025, Mr. Reddy made five separate deposits of $17,705.57 each into Plaza 106's business checking account at FUB — the same account subject to the auto-debit authorization under the Loan Agreement — totaling $88,527.85. Each deposit matched the monthly payment amount displayed on the loan portal. Three of these deposits were made on January 3, 2025. (Doc 83 ¶4.)

16. After making the January 3, 2025 payments, Mr. Reddy attempted to meet with FUB to discuss the status of the loan. Mr. Reddy spoke briefly with Don Rudy, Vice President of FUB, who stated that the bank was not willing to discuss further.

17. On January 21, 2025, FUB's automated system debited $17,705.57 from Plaza 106's business checking account ("Transaction 1"). The debit was not initiated by Mr. Reddy. FUB did not apply the funds to the loan account. On or about February 5, 2025, FUB reversed the transaction through a "Payment Refund" entry — fifteen days after the original debit. (Doc 83 ¶6.)

18. Mr. Reddy was not aware of Transaction 1 at the time it occurred or when it was reversed. He discovered the transaction and its reversal in mid-February 2025 while reviewing account records.

19. Around February 11, 2025, Mr. Reddy received a text message from the Suite B tenant, Shreyas Makam, showing a picture of the Notice of Trustee's Sale (NOS1) posted on the tenant's door at the Property. Suite B stopped paying rent from that time onwards. Suite C tenant, Eddee Johansen, also stopped paying rent consistently, later sending an email to Mr. Reddy attributing the delay to the Notice of Trustee's Sale. Both working HVAC machines at the Property also stopped working in the coming months.

20. Mr. Reddy and Plaza 106 began exploring Chapter 11 as a protective measure. During this process, Mr. Reddy noticed transaction irregularities on the business checking account — specifically, Transaction 1.

21. On February 19, 2025, Mr. Reddy called Defendant Michael Brown at Parsons Behle & Latimer and requested a meeting. Mr. Reddy was not aware the bank would also attend.

22. On February 20, 2025, FUB's automated system debited $17,705.57 from Plaza 106's business checking account (Transaction 2). The debit was not initiated by Mr. Reddy.

23. On the same day, Mr. Reddy met with Brown, Don Rudy, and Dillon George at Parsons Behle & Latimer's office. The meeting lasted approximately three hours. Both Transaction 1 and Transaction 2 were discussed. (Doc 83 ¶8.)

24. During the meeting, Brown acknowledged that the foreclosure was irregular in light of the bank's acceptance of the February 20 payment after the Notice of Trustee's Sale had been filed, and indicated that he would cancel the foreclosure. Brown also asked Mr. Rudy about the January 21, 2025 transaction. Mr. Rudy responded to the effect of "I don't know" or "I don't remember." Mr. Rudy later testified under oath at the evidentiary hearing that he was "intimately" familiar with the loan account. During the meeting, Mr. Rudy also stated words to the effect of: "if the notices were defective, the bank could cancel them and reissue them tomorrow." Mr. George was more reconciliatory and suggested that Mr. Reddy obtain a quick takeout loan before the bank took action to pursue foreclosure once again. (Doc 83 ¶8.)

25. On or about February 24 or 25, 2025, Mr. Reddy called Brown and insisted the bank apply the deducted funds to the loan. Brown became upset. Mr. Reddy stated that the funds had already been deducted from the business bank account and that the memo line on the online portal stated the deduction was for payment for loan 4200. Mr. Reddy insisted that the deducted amount should be applied to the loan as the memo line stated. He further questioned Brown by asking if the funds are not applied to the loan, does the bank even have any right to deduct from

a depositor's account? Doesn't this amount to conversion? Brown stated he would get back to Mr. Reddy. (Doc 83 ¶9.)

26. From that point onwards, Mr. Reddy checked the online banking portal daily to see whether the deducted funds were being applied to the loan. On February 28, 2025, Mr. Reddy discovered his access to FUB's online banking portal had been disabled. Mr. Reddy called Brown. Brown did not inquire why Mr. Reddy had lost portal access — because, upon information and belief, he already knew. Brown stated words to the effect of: "the bank had taken too long to correct Transaction 1, and they were now working on Transaction 2." Mr. Reddy understood this to mean that the bank would be applying the funds to the loan. (Doc 83 ¶10.)

27. On or about March 3, 2025, portal access was restored to Mr. Reddy. By the time Mr. Reddy logged into the account, Transaction 2 had not been applied to the loan or returned to the checking account as Transaction 1 had been. It had been completely erased from the record. There was no reversal entry. There was no refund memo. There was no trace of the transaction.

28. Shortly thereafter, Mr. Reddy retained attorney Nathan Eaton. Mr. Eaton sent a settlement communication to Brown on behalf of Plaza 106 that specifically referenced both Transaction 1 and Transaction 2. (Doc 83 ¶12.)

29. FUB sent a Notice of Intent to File Notice of Default on March 11, 2025. FUB initiated a second Notice of Default and Election to Sell (NOD2) on April 17, 2025, and a second Notice of Trustee's Sale (NOS2) for September 16, 2025. (Doc 9 ¶¶9-11; Doc 43/44 ¶¶9-11.)

30. The tenant payment disruptions caused by the posting of NOS1 made it difficult for Plaza 106 to pursue any meaningful refinancing efforts. Following Mr. George's suggestion at the February 20 meeting, Mr. Reddy explored private lending options. However, even a higher interest private lender would need operating leases in place. While Mr. Reddy could have evicted and replaced Suite B and Suite C tenants in 3 months, that would give no time for a private

lender to close on a short term loan. The NOS trapped Plaza 106 between non-paying tenants and the need to show active leases for refinancing. Plaza 106 filed for Chapter 11 bankruptcy on September 15, 2025. (Doc 43/44 ¶11.)

31. In its Motion for Relief from Stay (Doc 9 ¶17), FUB represented to this Court that "the Debtor began discussions with the Movant and the Movant recorded a Cancellation of Notice of Default and cancelled the Trustee's Sale." In Doc 9 ¶18, FUB represented that "Discussions between the Debtor and Movant broke down and the Debtor remained in default."

32. At the evidentiary hearing on February 5, 2026, FUB's own witness Mr. Rudy testified under oath that the cancellation was caused by "a payment that was taken … it was done in mistake by the bank and reversed and put back and … that's what caused the foreclosure to be restarted." (Transcript, p. 85; Doc 83, Ex. 2.)

33. At the same hearing, Mr. Rudy denied knowledge of Transaction 2 four times under oath, despite having discussed it at the February 20, 2025 meeting for approximately three hours. (Doc 83 ¶14.)

34. Monthly statements for the loan account that had previously been available on the portal were removed or restricted during February 2026, during the period of the evidentiary hearing. The past due amounts on three separate dates are exact multiples of $17,705.57, but as of February 4, 2026, the loan shows 16 payments past due instead of 18 — a shortfall of exactly $35,411.14, two payments. (Doc 83 ¶13.)

35. FUB filed its Motion for Relief from Stay (Doc 9) on October 16, 2025. Following an evidentiary hearing on February 5, 2026, and a ruling on March 2, 2026, this Court granted the Motion (Doc 54). Brown then signed a Notice of Trustee's Sale (NOS3) on March 17, 2026, scheduling the sale of the Property for April 21, 2026.

COUNT 1

Strict Liability Under UCC Midnight Deadline (Utah Code § 70A-4-302, § 70A-4-215)

Against Defendant First Utah Bank

36. Plaintiff incorporates ¶¶1-34 by reference.

37. FUB is a payor bank as defined under Utah Code § 70A-4-105.

38. FUB's automated system debited $17,705.57 from the Debtor's checking account on January 21, 2025 (Transaction 1) and again on February 20, 2025 (Transaction 2).

39. Under § 70A-4-302, a payor bank that retains a demand item past its midnight deadline is accountable for the amount of the item, "whether properly payable or not."

40. Transaction 1 became final under § 70A-4-215 at midnight on January 22, 2025. FUB did not return or reverse the item until February 5, 2025 — fifteen days past the midnight deadline.

41. Transaction 2 became final under § 70A-4-215 at midnight on February 21, 2025. FUB did not return the item — it deleted it entirely.

42. Under § 70A-4-302, FUB is strictly liable for the face amount of both transactions — $35,411.14. The statute imposes liability on a payor bank that retains an item past the midnight deadline, "whether properly payable or not." No proof of actual damage is required.

43. Non-judicial foreclosure is not conducted under the supervision of a court of law; accordingly, strict compliance with the statute is required. Utah Code §§ 57-1-10 through 57-1-36. A Notice of Default stating a default amount that does not credit a legally finalized payment is defective.

44. The Notice of Sale signed by Brown on March 17, 2026 flows from the defective Notice of Default. The stated default amount is overstated by at least $35,411.14 — two finalized payments that were never credited to the loan.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully requests this Court enter judgment as follows:

A. Injunctive Relief. Issue a temporary restraining order and preliminary injunction enjoining Defendants from proceeding with the Trustee's Sale scheduled for April 21, 2026, or any subsequent sale of the Property.

B. Vacate Stay Relief Order. Vacate the Order Granting First Utah Bank's Motion for Relief from Stay (Doc 54) as procured by fraud on the court under Fed. R. Civ. P. 60(d)(3) via Bankr. R. 9024, thereby reimposing the automatic stay under 11 U.S.C. § 362(a) as to the Property.

C. Costs and Fees. Award Plaintiff costs of suit and attorneys' fees as permitted by law.

D. Declaratory Relief. Declare that Transaction 1 and Transaction 2 became final under § 70A-4-302 and § 70A-4-215, that the Notice of Sale signed by Brown on March 17, 2026 is defective for failure to credit two finalized payments totaling $35,411.14, and that non-judicial foreclosure based on defective notices is void.

E. Spoliation Sanctions. Enter an adverse inference instruction against Defendants for the destruction of Transaction 2 records.

F. Damages. Award Plaintiff damages including the face amount of both transactions under § 70A-4-302, consequential damages under § 70A-4-103(e) for bad faith, damages for breach of the deposit agreement, and damages for tortious interference with economic relations.

G. Punitive Damages. Award punitive damages against Defendants in an amount sufficient to deter the conduct described herein.

H. Other Relief. Grant such other and further relief as this Court deems just and proper.

DATED April 17, 2026.

VALERGA LAWYERS

/s/ Brody Valerga
Brody Valerga
Attorney for Plaintiff and Debtor in Possession

VERIFICATION

I, Nagendra Prasad Reddy, declare under penalty of perjury under the laws of the United States of America that I am Managing Member of Plaza 106, LLC, that I have read the foregoing Verified Complaint for Fraud on the Court, Conspiracy to Defraud Trustor, Breach of Contract, UCC Violations, Spoliation of Evidence, and Injunctive Relief, and that the factual allegations in it are true and correct to the best of my knowledge, information, and belief.

Executed on _____, at _____, Utah.

Nagendra Prasad Reddy
Managing Member, Plaza 106, LLC